

money pays retirement benefits to *today's* retirees. Whether there's any money around when *we* retire is another question.

Fortunately, after you retire young you'll have no earnings. That means you'll pay no Social Security tax. But what about benefits? What's the effect of very early retirement—and avoidance of Social Security tax—on your ultimate retirement benefits?

That's a good question. A very good question. Unfortunately, the answer is shrouded in mystery.

To try to find the answer I checked the *Social Security Handbook*, published by the Social Security Administration. I found the *Social Security Handbook* to be the single most abstruse document I've ever read. Compared to the *Social Security Handbook*, the *Internal Revenue Code* reads like a light, breezy, human-interest piece. I'm an accountant. I not only understand annual reports, I used to help write them. Difficult pension footnotes in annual reports can bring grown SEC lawyers to tears. But annual reports are child's play compared to the *Social Security Handbook*.

Unable to understand the handbook, I called the Social Security Administration. The person who answered the phone masqueraded as a recording. Phone companies try to make recordings that sound like real people. I got a real person that tried to sound like a recording. Whatever I asked, the recording said, "We calculate based on your highest earnings."

I asked, "How are retirement benefits calculated?"

The recording said, "We calculate based on your highest earnings."

I asked, "Are all earnings or only covered earnings, up to \$43,800 in 1987, used in the calculations?"

The recording said, "We calculate based on your highest earnings."

I asked, "How many years of earnings are required in the calculation?"

The recording said, "We calculate based on your highest earnings."